JUSTICE THOMAS, dissenting.

The Federal Communications Commission believed that AT&T and Verizon violated federal law. Rather than proceeding against them in federal court, the Commission performed its own adjudications. It determined that AT&T and Verizon were liable, and it ordered them to pay $57 million and $47 million, respectively. See *ante*, at 539. If they did not pay, the Commission could sue them in a forum where they would have been denied a constitutionally required jury trial *de novo*. AT&T and Verizon believed that the Commission lacked the authority to force them to pay penalties without a trial *de novo* in an Article III court. So, like most regulated parties challenging Commission orders, they paid under protest and brought suit to vindicate their position, set aside the orders, and get their money back.

The Court agrees with AT&T and Verizon that they were entitled to a jury trial *de novo* before an Article III court before they could be forced to pay. It agrees that they did not in fact receive such a jury trial *de novo*. But, it rules in favor of the Commission. The Court does so because the Commission, after AT&T and Verizon paid it over $100 million, took the position that its orders were not really binding after all. The Commission now agrees that AT&T and Verizon would have been entitled to a jury trial *de novo* in an Article III court had they declined to pay. Because its orders were not binding until after that jury trial, the Commission says, AT&T and Verizon in reality paid the Commission voluntarily. The Court accepts that account and does not grant the carriers any relief. Because I would give the parties an opportunity to proceed under a correct understanding of the law, I respectfully dissent.

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I

A

When the Federal Government seeks to deprive a person of property, it must go through an Article III court. *SEC* v.

Jarkesy, 603 U. S. 109, 151 (2024) (GORSUCH, J., concurring). "That means the regular course of trial proceedings with their usual protections, not the use of ad hoc adjudication procedures before the same agency responsible for prosecuting the law, subject only to hands-off judicial review." *Ibid.* (citation omitted). Thus, as this Court held in *Jarkesy* and reaffirms today, agencies can collect penalties only after adjudication in court through a trial *de novo*. See *id.*, at 120, 134; *ante*, at 545.

B

The Commission determined that AT&T and Verizon violated federal law by mishandling user location data. See *ante*, at 539. The Commission sent them "Notice[s] of Apparent Liability" with its tentative conclusions. App. to Pet. for Cert. in No. 25–406, p. 47a; App. to Pet. for Cert. in No. 25–567, p. 43a. AT&T and Verizon responded with various constitutional, statutory, and factual arguments.

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The Commission then issued "order[s]" commanding AT&T and Verizon to pay $57 million and $47 million, respectively. App. to Pet. for Cert. in No. 25–406, at 131a; App. to Pet. for Cert. in No. 25–567, at 138a–139a. The orders were structured like judicial opinions. They explained what AT&T and Verizon did, what the law required, and how the law applied to the facts. The orders imposed liability for monetary penalties. In AT&T's case, the "Ordering Clauses" said:

> "**IT IS ORDERED** that, pursuant to section 503(b) of the Act, 47 U. S. C. § 503(b), and section 1.80 of the Commission's rules, 47 CFR § 1.80, AT&T, Inc., **IS LIABLE FOR A MONETARY FORFEITURE** in the amount of [$57,265,625] for willfully and repeatedly violating section 222 of the Act and section 64.2010 of the Commission's rules." App. to Pet. for Cert. in No. 25–406, at 131a.

Verizon's order contained identical language directing it to pay about $47 million. App. to Pet. for Cert. in No. 25–567,

at 138a. Although the orders stated that AT&T and Verizon could receive a jury trial *de novo*, they also described payment of the penalty as mandatory based on the Commission's adjudication alone: "Payment of the forfeiture shall be made in the manner provided for in section 1.80 of the Commission's rules within thirty (30) calendar days after the release of this Forfeiture Order." *Id.*, at 139a; App. to Pet. for Cert. in No. 25–406, at 131a.

In the orders, the Commission asserted that it could impose these penalties without involving an Article III court. It informed AT&T and Verizon that, contrary to what the Court holds today, agency monetary penalties such as these did not "need to be adjudicated in Article III courts with a right to trial by jury." *Id.*, at 127a. In the Commission's view, Congress could put claims such as these "beyond the ambit of the Seventh Amendment by assigning their resolution to a forum in which jury trials are unavailable." *Id.*, at 127a–128a (internal quotation marks omitted); contra, *ante*, at 544 (majority opinion). The Commission also expressly disagreed with the Fifth Circuit's then-recent decision in *Jarkesy* v. *SEC*, 34 F. 4th 446 (2022), which held such adjudications unconstitutional. See, *e. g.*, App. to Pet. for Cert. in No. 25–567, at 134a. This Court would affirm the Fifth Circuit's decision a year later. *Jarkesy*, 603 U. S., at 124–125, 140–141.

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Under protest, AT&T and Verizon both paid the amounts ordered, which was understood to be a precondition to their ability to file petitions for review in federal court. See Petition for Review in No. 24–60223 (CA5), ECF Doc. 1–1, p. 1, n. 1; Petition for Review in No. 24–1733 (CA2), ECF Doc. 1–1, p. 1. AT&T filed a petition for review in the Fifth Circuit, and Verizon filed one in the Second Circuit. At every stage of their cases, they preserved their position that they should have received an Article III adjudication before being forced to pay. The Fifth Circuit agreed with AT&T and set aside the Commission's order, and the Second Circuit agreed with

the Commission. We granted certiorari and consolidated the two cases. 607 U. S. 1120–1121 (2026).

II

A

The Court accepts the Government's newfound account that under the Act, the Commission's self-styled "orders" were mere nonbinding notices that the regulated parties were free to ignore. See *ante*, at 541 ("The orders at issue . . . did not create an obligation to pay"). The Court also accepts that the orders would receive no deference in the *de novo* enforcement action necessary for the Commission to force payment. *Ante*, at 542 ("[F]or the purpose of a § 504 trial—the only means by which the Government can collect a penalty—it is as if the Commission never found any facts at all"); accord, *ibid.*, n. 1. The Court's decision is premised on those important limitations, which means that the Commission's orders have no legal import except as preconditions for a future suit. See *ante*, at 543–545. I agree with the Court that this interpretation of the Act should govern future proceedings so as to bring the Commission's enforcement practices into harmony with the Constitution.

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B

But as a court, we must resolve the cases before us. Regardless of what the Commission will do in the future, or what the Court believes it should have done all along, we granted certiorari in cases arising from two orders that the Commission addressed to AT&T and Verizon in 2024. At that time, neither the Commission nor the courts complied with the limits that the Court describes today.

1

When the Commission issued the orders, AT&T and Verizon could not expect the constitutionally required trial *de novo* that the Court envisions today. If AT&T and Veri-

zon ignored the orders and the Government brought an enforcement action, the enforcement action would not, in all probability, have proceeded "*as if no trial whatever had been had*" by the Commission. *Ante*, at 542 (internal quotation marks omitted). The Government can bring enforcement actions in any forum in which these nationwide carriers operate. See 47 U. S. C. § 504(a). And, courts across the country denied regulated parties the right to a trial *de novo*. See Brief for T-Mobile USA, Inc., as *Amicus Curiae* 8–9. Many did not allow challenges to the Commission's legal determinations, even on appeal, no matter how erroneous they were. *E. g.*, *United States* v. *Stevens*, 691 F. 3d 620, 622 (CA5 2012) ("[W]e agree with the district court that its jurisdiction was limited to considering the factual basis for the agency action"); *United States* v. *Neely*, 595 F. Supp. 2d 662, 669 (SC 2009) ("District court jurisdiction over an action to recover an unpaid forfeiture pursuant to Section 504 does not include the power to entertain challenges, raised in defense of a forfeiture recovery action, to the validity of an underlying FCC regulation").* Others restricted challenges to the penalty amount, even though that amount would be at issue in a constitutional trial *de novo*. *E. g.*, *United States* v. *Hodson Broadcasting*, 666 Fed. Appx. 624, 627–628 (CA9 2016) ("Review of a forfeiture amount is limited to whether it reflects a reasonable application of the statute"). And, when AT&T and Verizon paid their penalties, no carrier had ever received a jury trial in a § 504 enforcement action. See Brief for AT&T, Inc., et al. 10. AT&T and Verizon therefore had no way to ensure that they would proceed in a court that would respect their constitutional right to an Article III trial *de novo*.

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*See also *United States* v. *TravelCenters of Am.*, 597 F. Supp. 2d 1222, 1227 (Ore. 2007); *United States* v. *Rhodes*, 2022 WL 17484847, *3–*4 (D Mont., Dec. 7, 2022); *United States* v. *Dudley*, 2020 WL 4284052, *3 (ND Ala., July 27, 2020); *United States* v. *Metzger*, 2008 WL 11336647, *2–*3 (MD Fla., July 7, 2008).

2

I also do not share the Court's confidence that AT&T and Verizon should have known that these orders were nonbinding. The Commission "**ORDERED** that . . . [the recipient] **IS LIABLE FOR A MONETARY FORFEITURE** in the amount[s]" specified in each case. App. to Pet. for Cert. in No. 25–406, at 131a. The orders stated that "[p]ayment of the forfeiture shall be made . . . within thirty (30) calendar days after the release of this Forfeiture Order." *Ibid.* In the orders, the Commission took the position that it could issue the orders not because they were nonbinding, but because such orders could be imposed, from start to finish, without the involvement of "Article III courts." *Id.*, at 127a. It stated that its authority to impose such penalties was "beyond the ambit of the Seventh Amendment." *Ibid.* (internal quotation marks omitted). Beyond the order itself, the Commission's regulations say that its orders "requir[e]" the penalty to "be paid in full" and set a date by which it "must be paid." 47 CFR § 1.80(g)(4) (2024). If AT&T and Verizon did not pay, they arguably were subject to immediate statutory penalties for defying Commission forfeiture orders. See 47 U. S. C. § 503(b)(1)(B). The procedure for judicial review of the orders that is the basis for this Court's jurisdiction treated them not as requests for voluntary payment, but as "final orders." 28 U. S. C. §§ 2342, 2344.

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Nor is this a case in which AT&T and Verizon waived their Article III rights in exchange for a lesser penalty or without preserving their constitutional objections. Instead, AT&T and Verizon did what courts ordinarily encourage: They paid under protest and filed suit to get their payments back. Today, the Court punishes AT&T and Verizon for complying with a government order that they in good faith believed was obligatory, diligently preserving their objection to that order, and then litigating that objection so effectively as to cause the Government to change its position years later.

I respectfully dissent.